Economics - Undergraduate Level Assessment 1 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. For the perfectly competitive firm, the profit-maximizing decision to shut down is made when the price
   - (a) exceeds maximum average total cost.
   - (b) is less than maximum average variable cost.
   - (c) is equal to minimum marginal cost.
   - (d) falls below minimum average total cost.
   - (e) is equal to average revenue.
2. Suppose that the Durbin Watson test is applied to a regression containing two explanatory variables plus a constant with 50 data points. The test statistic...
   - (a) Residuals appear to be negatively autocorrelated
   - (b) There is a strong linear relationship between the variables
   - (c) The regression model is incorrectly specified
   - (d) The residuals are heteroscedastic
   - (e) Residuals appear not to be autocorrelated
3. What is a margin requirement?
   - (a) The financial reserve a trader must maintain to cover potential losses on leveraged positions
   - (b) Percentage of the value of a stock purchase required to be paid immediately
   - (c) The maximum percentage of a portfolio that can be invested in a single stock
   - (d) The total cost of a stock purchase
   - (e) The commission fee paid to a broker for executing a stock trade
4. The price elasticity of demand for a product is greater if
   - (a) the proportion of the good of the consumer's budget is high.
   - (b) the number of substitute products is limited.
   - (c) the product is unique and has no substitutes.
   - (d) the consumer has a high income.
   - (e) the period of time to respond to a price change is short.
5. Which of the following would lead to a decrease in the money supply?
   - (a) The FED lowers the discount rate.

(b) The FED sells government securities in the secondary market.

(c) The federal government spends less money.

(d) The FED lowers reserve requirements.

True / False (10 marks)

Answer True or False and justify briefly.

1. True or False: The correct answer to 'The primary focus of microeconomics is' is 'government.'.

2. True or False: The correct answer to 'What are the three sources of money creation?' is 'United States Treasury, Federal Reserve Banks, commercial banks'.

3. True or False: The correct answer to 'Required reserves' is 'can be used to cover operational expenses of the bank.'.

4. True or False: The correct answer to 'Suppose a commercial bank's required reserves are $100,000, and the required reserve ratio is162/3%. What must its deposits be?' is '$600,000'.

5. True or False: The correct answer to 'If Matt's total utility from consuming bratwurst increased at a constant rate, no matter how many bratwurst Matt consumed, what would...' is 'Horizontal'.

Long Form Response (20 marks)

Provide thorough reasoning and reference key steps.

1. Assume the reserve requirement is 10 percent. If the FED sells $29 million worth of government securities in an open market operation then the money supply can

2. What is the primary objective of management in managerial economics?

End of Paper